

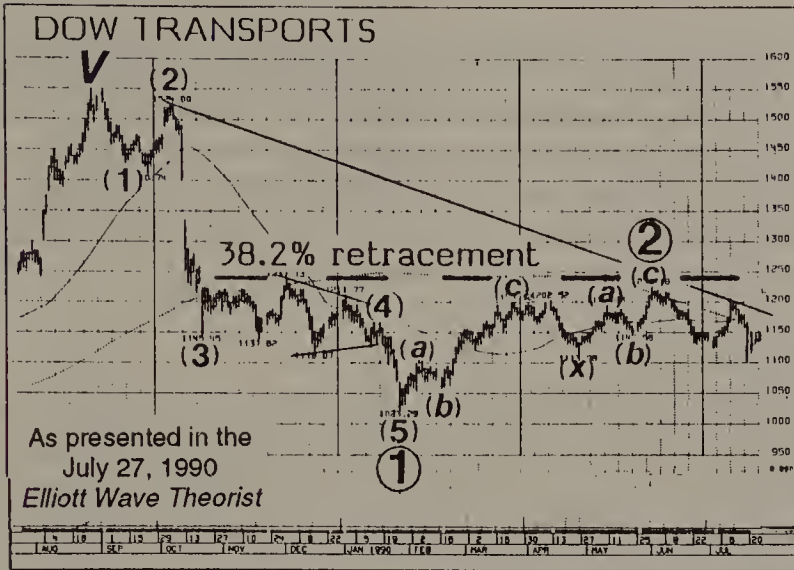


Figure 6-4

The Next Advance

Although it was not yet clear at this point, the Dow Jones Transportation Average had completed a three-wave decline, which portended new highs. At the time, it was difficult to imagine that this index, which had reached the most overvalued level of any stock index in U.S. history in 1989, would manage to struggle back to a new high by 21%. Yet over the next three-plus years, that is exactly what it did.

On June 28, 1991, with the DJTA at 1140 and the first rally for wave (a) complete (see Figure 6-5), *The Elliott Wave Theorist* began wising up to this remarkable situation, noting that “the 1989-1990 decline appears to be an A-B-C, and the retracement into 1991 a ‘five,’

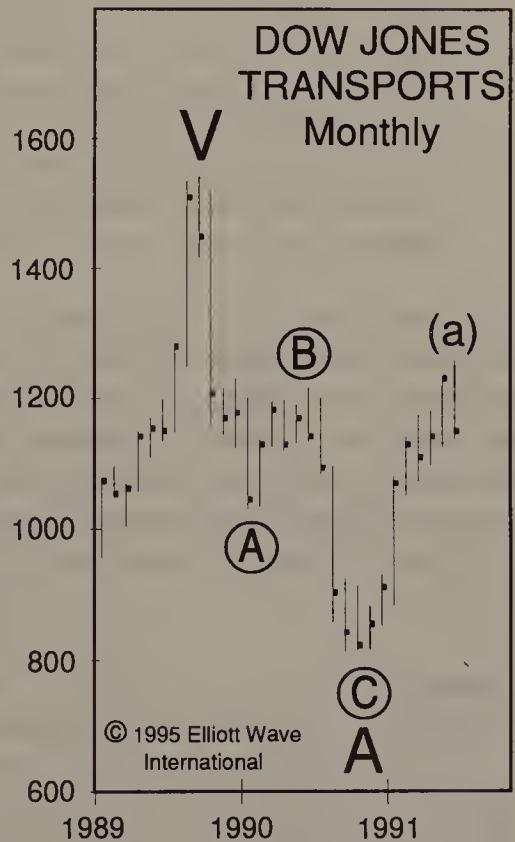


Figure 6-5